Jing Gao

Contact Information

Carlson School of Management
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Education

Finance — **University of Minnesota**
Carlson School of Management
Ph.D. — 2020 - 2026 (Expected)

Economics — **Renmin University of China**
Hanqing Advanced Institute of Economics and Finance
M.S. — 2017 - 2020

Finance — **University of Minnesota**
Carlson School of Management
M.S. — 2019 - 2020

Finance — **Shandong University**
B.A. — 2013 - 2017

Economics — **University of California, Berkeley**
Exchange student — 2015 Fall

Research Interests

Financial Institutions, Machine Learning, Macro Finance, Corporate Finance, Asset Pricing

Working Papers

1. Bridging Markets: Equity Investors' Dual Roles in Corporate Debt Issuance *(Job Market Paper)*

- ***Presentations***: *AFA poster session 2026 (scheduled), FMA Doctoral Student Consortium 2025 and Special PhD Paper Presentations, 5th COAP 2025 (Luxembourg), SFA 2025, MRS 2025 (CIRF & CFRI), Summer Econ Seminar at University of Minnesota 2025, UMN brown bag 2024*

2. Behavioral Machine Learning? Regularization and Forecast Bias with Murray Frank, and Keer Yang

- ***Presentations***: *CICF 2025 (Shenzhen), Financial Intermediation in the 3rd Millennium (2025), JFDS Conference 2023, 2023 Cardiff Fintech Conference, FMA 2023, HKUST, UC Davis Finance Day, and University of Minnesota*
Covered by Financial Times

3. The Human Capital of Remote Work with Jack Favilukis, Xiaoji Lin, Ali Sharifkhani, and Xiaofei Zhao

- ***Presentations***: *AEA 2024, CIRF & CFRI 2024, SFS Cavalcade Asia-Pacific 2024, Stanford Remote Work Conference 2023, George Mason University, and University of Minnesota*

4. The Changing Structure of Corporate Profits with Murray Frank

- ***Presentations***: *AFA 2026 (scheduled), FIRS 2025, FOM 2024, Lake District Workshop in Corporate Finance 2024, and University of Minnesota*

Awards and Honors

AFA Travel Grant	2025
Professional Development Funds, University of Minnesota	2025
Ph.D. Student Summer Travel Award, University of Minnesota	2024
Ph.D. Student Conference Travel Fellowship, University of Minnesota	2023-2025
Carlson School Summer Research Fellowship, University of Minnesota	2021-2024
Carlson School Fellowship, University of Minnesota	2020-2025
Outstanding Graduate Award, Renmin University of China	2020

National Scholarship, Renmin University of China 2019
President's Scholarship (highest honor awarded by the university), Shandong University 2016
National Scholarship, Shandong University 2014-2015

Teaching Experience

Instructor, Carlson School of Management 2022 - 2023

Finance Fundamentals: 3 credits
Teaching Evaluation: **5.5/6**

Teaching Assistant, Carlson School of Management 2020 - 2025

MBA/Master Courses: Derivatives and Risk Management; Finance for Multinationals; Portfolio Management; Private and Public Equity Financing; Financial Services Industry; Financing over a Firm's Lifecycle; Financial Capital Structure; Corporate Valuation and Modeling; Debt Markets, Interest Rates, and Hedging; Cash Flows and Project Selection; Working Capital Management; Business Valuation; Corporate Financial Decisions and Analysis; Finance within the Macroeconomy
Undergraduate Courses: Climate Change and the Impact on Corporate Finance; International Finance; Behavioral Finance; Banking Institutions; Options & Derivatives; The Global Economy (Macro)

Professional Service

Conference Discussions
MRS 2025: *Term Structure Extrapolation using Macro-Driven Ultimate Forward Rate* by Hangsuck Lee, Sunae Kim and Hongjun Ha
SFA 2025: *Managing the Information-Driven Volatility* by Jianyao He

Referee Quarterly Journal of Finance

Paper Reviewer SWFA 2026

Additional Experience

Assisted in Midwest Finance Association program building 2020
Student Advisory Committee, Carlson School of Management 2024
Summer Schools: DSE Summer School; FTG Summer School; Structural Estimation in Corporate Finance; Northwestern Causal Inference Workshop 2022-2024
Volunteer teacher for middle school students, Xiduan Village 2015

Programming Languages

Stata, Matlab
Julia, Python, SAS (some experience)

Professional Experience

Harvard China Gazetteer Project
Onsite Team Member 2017
China CITIC Bank
Intern in Retail Banking Department 2016
Deloitte
Audit Intern 2016

References

Xiaoji Lin (Advisor)
Professor of Finance
University of Minnesota
Email: xlin6@umn.edu

Murray Frank
Professor of Finance
University of Minnesota
Email: murra280@umn.edu

Juliana Salomao
Associate Professor of Finance
University of Minnesota
Email: jsalomao@umn.edu

Paper Abstracts

1. Bridging Markets: Equity Investors' Dual Roles in Corporate Debt Issuance ***(Job Market Paper)***

Abstract: I demonstrate that institutional equity investors influence corporate debt financing through their dual roles as informed traders and shareholders. These roles operate through two distinct channels: an information transmission channel that affects debt investors' capital supply, and an equity benchmarking channel that affects firms' demand for debt capital by altering shareholders' effective risk tolerance. Empirically, I provide evidence for both channels using a mutual fund disclosure reform and equity benchmarking intensity as an instrument, respectively. Theoretically, I develop a dynamic general equilibrium model that incorporates both channels and endogenizes firms' financing choices and investors' shareholdings. The calibrated model shows that the information channel accounts for over 20% of the observed relationship between institutional ownership and corporate debt issuance, with the associated information costs representing about 5% of equity value. Furthermore, an increase in benchmarking intensity comparable to Russell 2000 inclusion amplifies the relationship by 9%. These results highlight the importance of cross-market investor linkages and firm responses to investor characteristics in understanding financing outcomes.

2. Behavioral Machine Learning? Regularization and Forecast Bias with Murray Frank, and Keer Yang

Abstract: Standard forecast efficiency tests interpret violations as evidence of behavioral bias. We show theoretically and empirically that rational forecasters using optimal regularization systematically violate these tests. Machine learning forecasts show near zero bias at one year horizons, but strong overreaction at two years; precisely the pattern regularization predicts. We provide three complementary tests: experimental variation in regularization parameters, cross-sectional heterogeneity in firm signal quality, and quasi-experimental evidence from ML adoption around 2013. Technically trained analysts shift sharply toward overreaction post-2013. Our findings suggest reported violations may reflect statistical sophistication rather than cognitive failure.

3. The Human Capital of Remote Work with Jack Favilukis, Xiaoji Lin, Ali Sharifkhani, and Xiaofei Zhao

Abstract: We examine how endogenous human capital accumulation interacts with task-based production to shape firms' resilience, productivity, and asset prices. A dynamic model highlights *Information and Communication Technology (ICT) human capital*, the accumulated workforce knowledge and skills that enable flexible task execution, as a core production factor. We show that ICT human capital expands firms' technology adoption frontier and fundamentally alters their response to shocks. Using COVID-19 as a natural experiment, we find that industries with higher ICT human capital adopted remote work more effectively, sustained productivity, and experienced smaller declines in asset prices, employment, and output. Our measure, based on capitalized ICT-related labor expenses, also predicts persistent remote work adoption in the post-pandemic period, indicating that this form of human capital will remain central as firms confront ongoing digitalization, the diffusion of artificial intelligence, and future labor market shocks.

4. The Changing Structure of Corporate Profits with Murray Frank

Abstract: What explains the evolution of corporate profits and firm dominance in the U.S economy over the past half century? We find that the median public firm assets grew at approximately 2% annually until the early 1990s and then accelerated to 5% annually. Large firms did particularly well. Firms in the top quintile became both larger and more profitable relative to the median firm. Using decomposition analysis and estimated transition matrices, we identify two main mechanisms that drive the

growing large firm advantage. Large firms had greater reductions in flow costs than did the median firm. Large firms disproportionately benefited from the long term declining interest rates. We find no evidence of increased persistence among top firms. Approximately 30% of the top quintile firms exit within 5 years. That is true both in earlier decades and in recent decades. Exit rates and firm size transition rates have been quite stable. However, firm entry rates declined significantly since 2000. The evidence calls into question critical aspects of the claims of declining business dynamism and increasing entrenchment of large firms due to market power. A tractable heterogeneous firm model with state-dependent transitions is provided to give a unified account of our firm profit facts.